



Factor Update, January 17, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
• Long two units of Osaka Dow futures • Long two units of Dax futures • Long one unit of long Gold and short NZD futures • Short one unit of 10-Yr. Note futures	• Long two units CENX stock (split into partials) • Short one unit of NY Cocoa futures • Long two units of Russell futures
Markets under consideration for New Initial Positions (NIPs)	
• U.S. Dollar Index futures or EuroFX futures • AUD/NZD spot or futures	• NY Coffee futures
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 116 as of Jan 16	

Greetings, Factor Members. The factor service is going to take a detour this week. And perhaps, a permanent detour effective with this edition. It really is time for me to find a slower pace. And part of finding a slower pace is finding a way to communicate with you that is easier and less time consuming for me.

That means that the Factor Update this week will be a rambling narrative, with charts, rather than a more organized presentation with underlined titles and charts for a trade all on the same page. I would appreciate your feedback via the Factor member's private X feed.

So here goes. I am creating this Update on the fly – kind of like I run the Factor Members private X feed. First, I will cover those markets in which I carried a position home on Friday. Then I will post charts of other markets with appropriate comments. I am not planning to delve deeper into tactical stuff. That is an area of trading every trader needs to work out for themselves or they will never gain traction with an edge. Just make sure that you keep your losses contained.

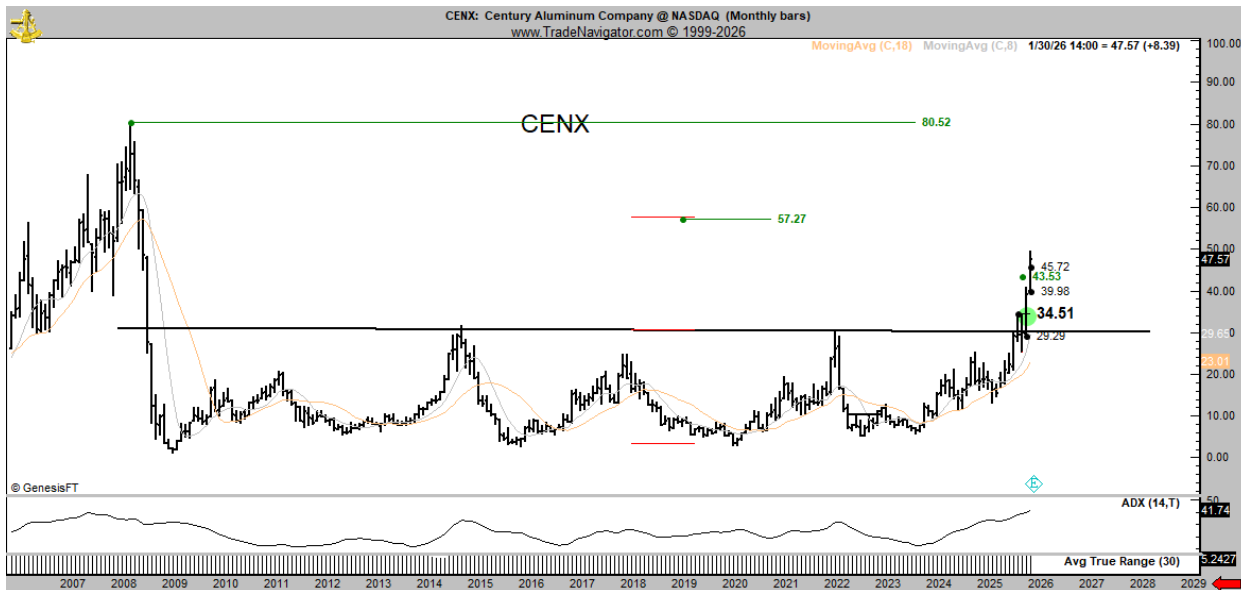
I may not show you all the charts I looked at for each market. You may need to dig those up for yourself. Sorry.

Here are the key foundational building blocks of my approach.

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

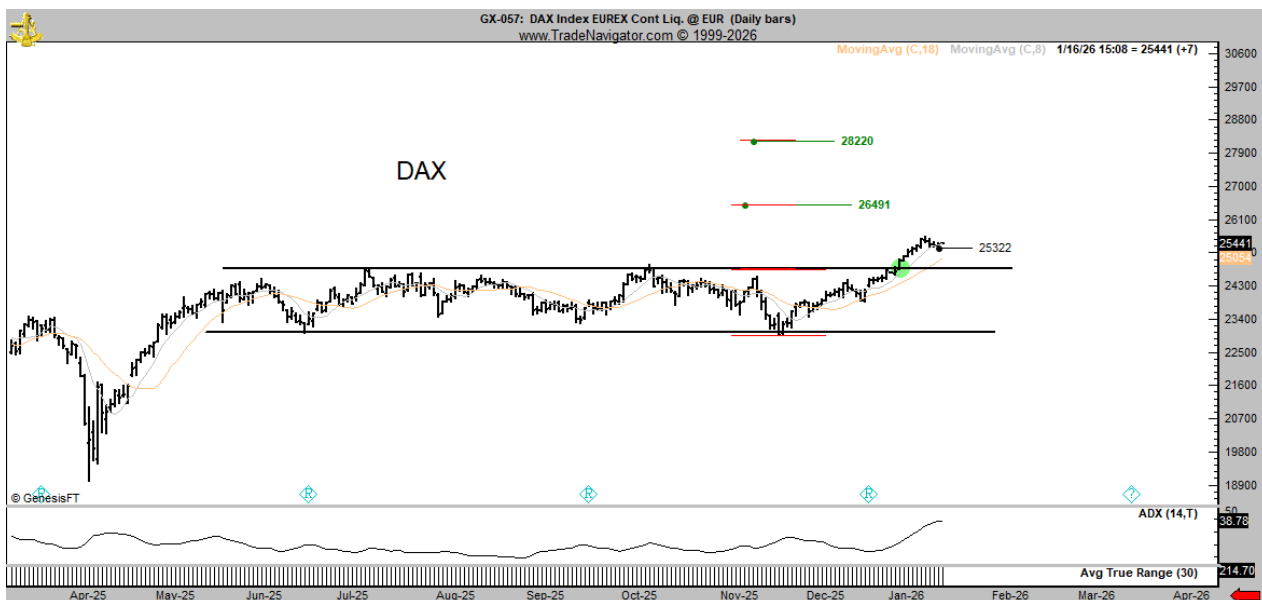
CENX-stock

- Factor is long 2 units of CENX
- Not willing to leave it all on the table in case of a reversal I split one of the tranches into two partials with advanced stops on one of the partials
- This was a monster base
- An initial target at 43.50 has been met
- Never count your chickens before they hatch
- Lots could go wrong with this trade – so do not chase it



DAX futures

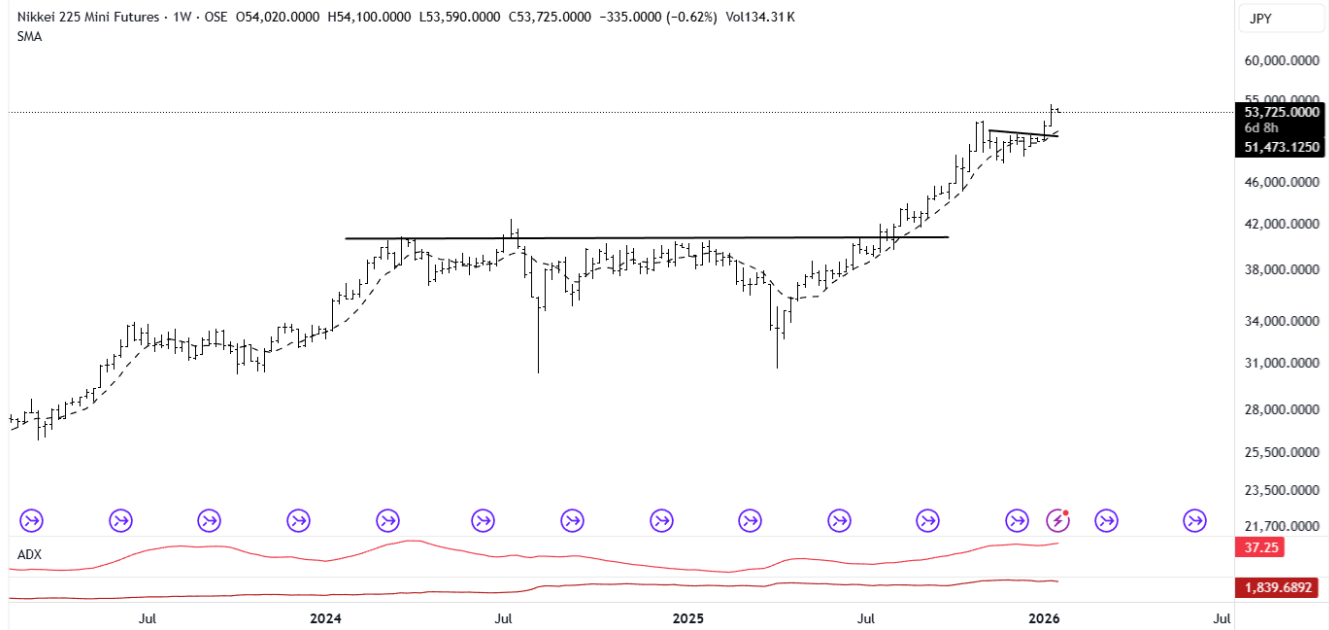
- A 7-month rectangle is displayed on both the daily chart
- Factor is long a two-unit long position
- Some of Factor's biggest profits and most reliable trades come from tight rectangular congestion zones in the context of a strong trend
- A 3DTSR was technically triggered this week but the market is not yet at 70% to the target
- But I will use Friday's low as a new pivot



Osaka Dow futures

- Factor is long two units based on the completion of the inverted continuation H&S on daily chart
- The neckline was retested on Wednesday – and now the market has moved into ATHs
- Wednesday's low is now a good basing point for protective stops
- I am moving stops on one unit on Sunday – not sure to where yet

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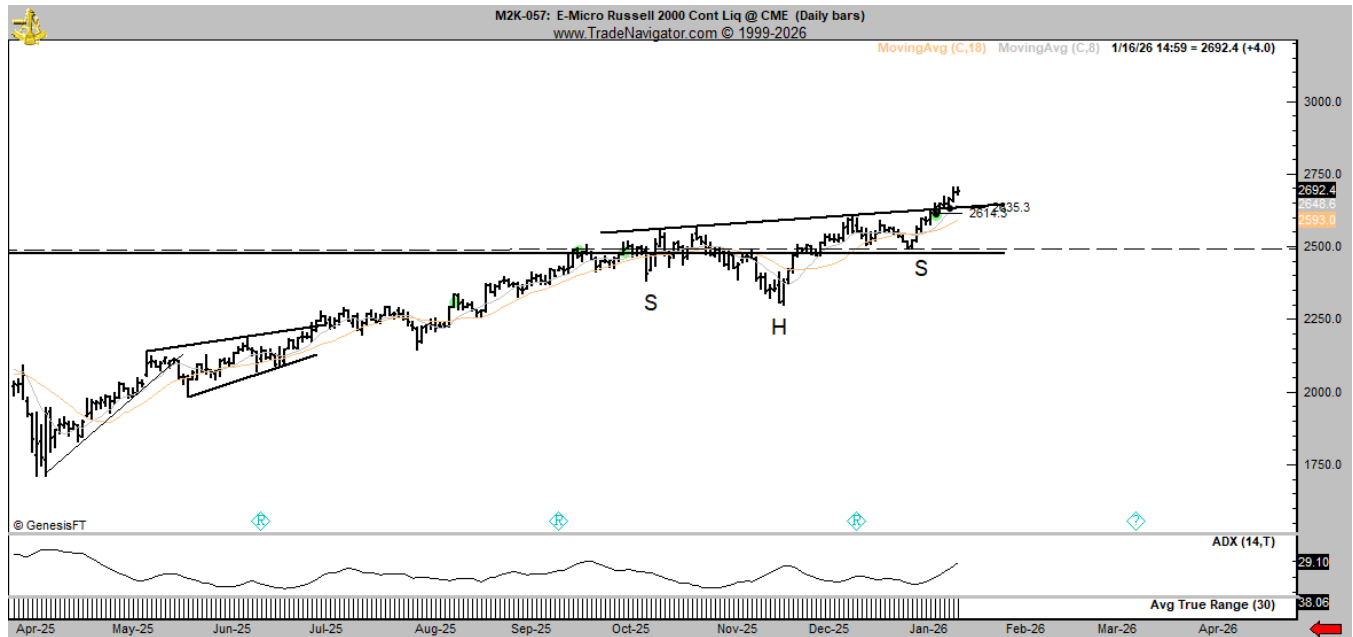
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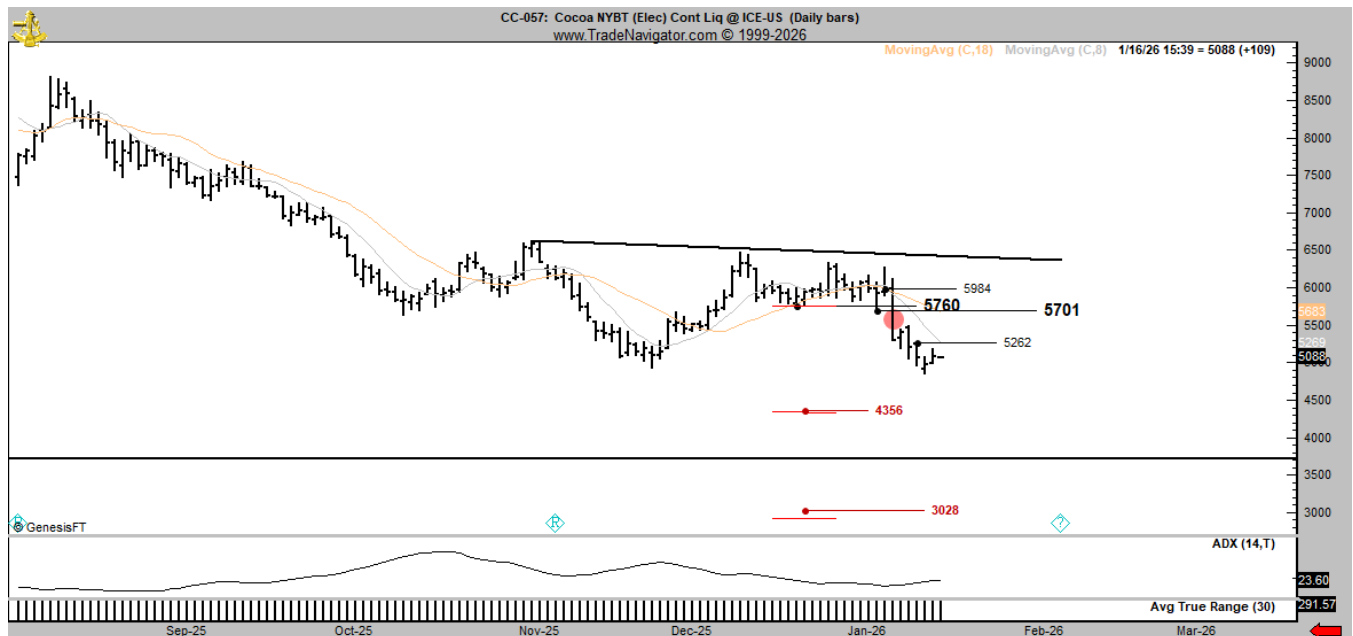
Russell futures

- The Russell is now leading the charge
- Factor is long two units of M2K futures
- I like necklines that slant in the direction of breakouts
- Never count your chickens until – especially in the dreaded Russell



Cocoa futures

- Factor is short one unit
- The pattern was a textbook H&S failure
- The signal came when the right shoulder low was violated by the decline through the Jan7 OOL movement low
- Softs are notorious for sharp snap-back rallies. Sometimes these snap-backs become complete popcorn trades



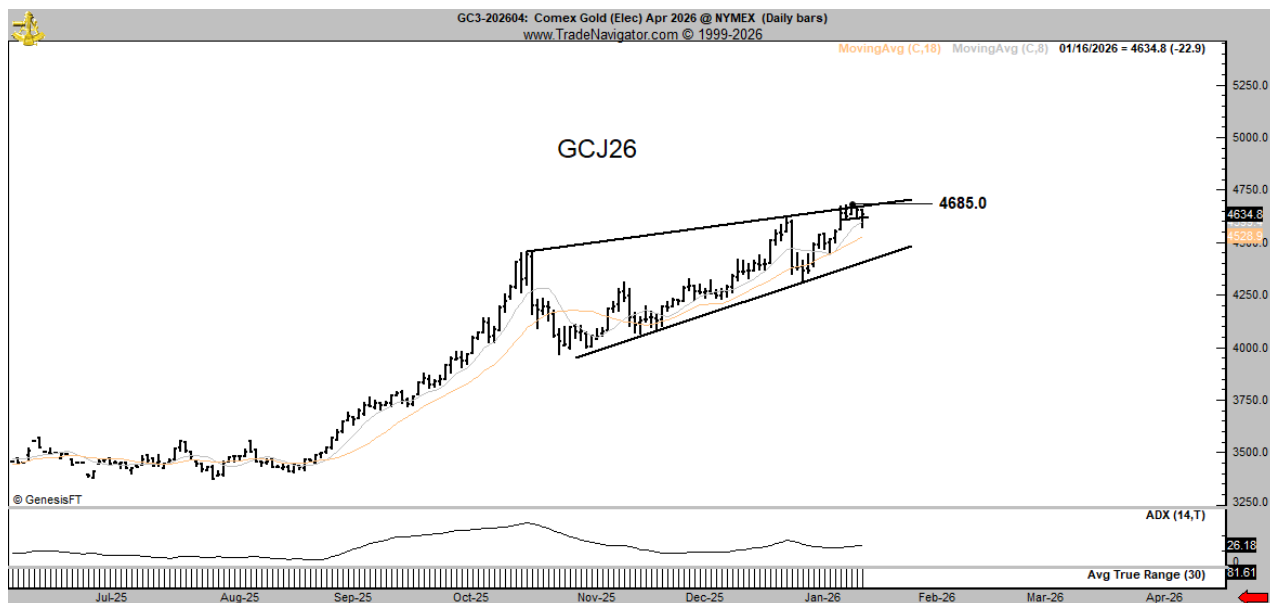
Gold futures denominated in NZD futures

- I put out a member X post on this week, noting that I preferred long Gold against NZD over Gold denominated in USD
- I was not willing to chase the breakout and noted that I would buy a retrace back to the original adjusted ATR breakout level
- The buy alert happened on Friday
- The pattern is a running wedge
- There is no singular contract for this pair, so I wait for an alert and enter market orders
- Factor is long a single unit of the pair (long Gold denominated in NZD)
- Through a prime brokerage arrangement, I can execute a trade like this based on a USD value rather with a specific number of contracts. Prime brokers charge a premium for executing trades this way, but the convenience is worth it
- Penetration of Friday's low is my exit point
- I would be willing to add long GC vs. USD

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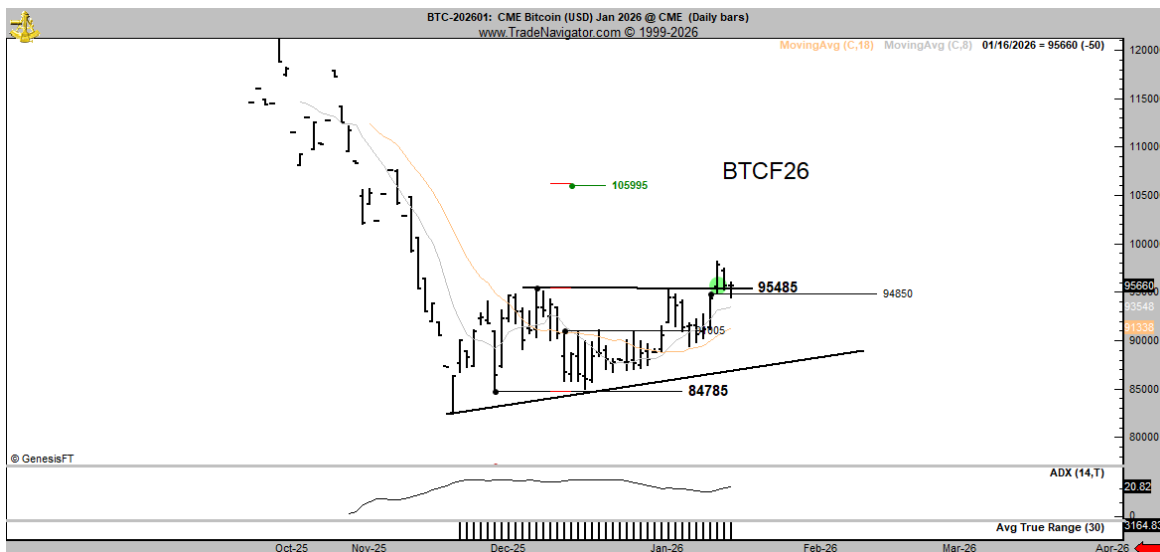
Treasury futures

- I have been jerked around in my thinking on the Ts for the past year – thinking one way then another. Yet, in the past year I have not lost money net trading the Ts, yet have been positioned for the moves that did not occur
- The short side of the Ultra Notes were my focus until Friday. I had orders in place to short the Ultras
- Then the regular 10-Yr T broke down first, so I called an audible mid-trading day
- The Ts remain in a massive multi-year congestion that remains unresolved, so I am using daily charts for trades
- The pattern is a rectangle top that was severely retested via a symmetrical triangle
- Factor is NOW short a unit



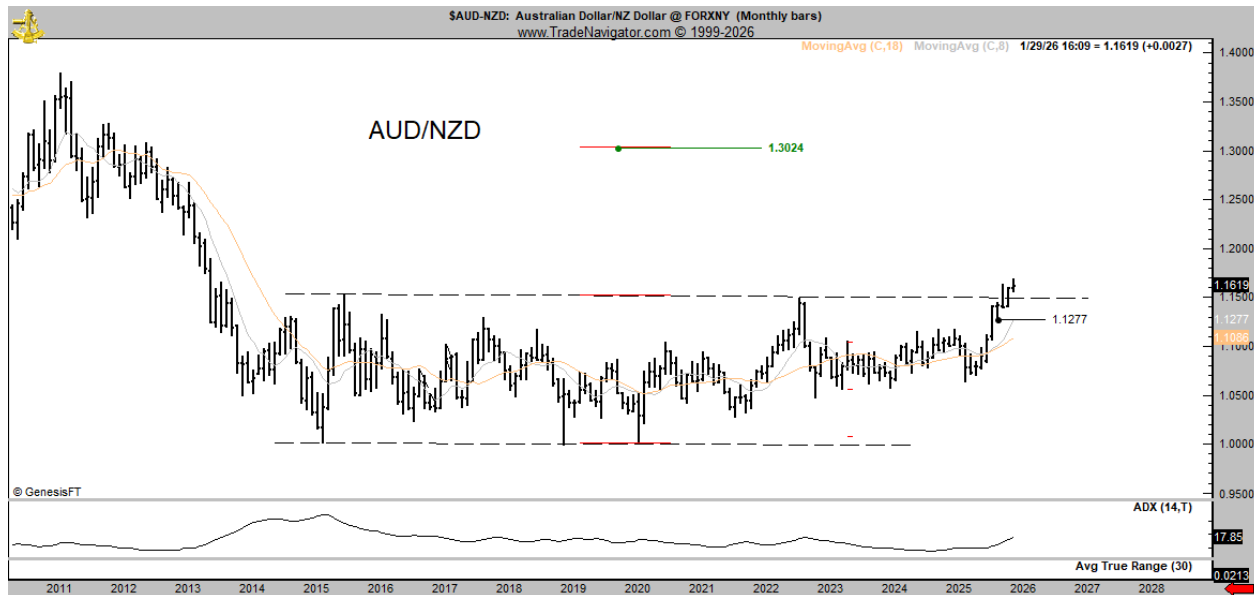
Bitcoin spot

- I was long a unit this past week – stopped out on Friday
- My rule is to NOT take losing trades home for the weekend
- Friday's candle was quite constructive
- I am not sure if I will be interested in this trade next week
- Short-term there is a Hikkake buy signal set up with Thursday's inside day and then a foot shot on Friday
- I should not have been interested in this to begin with – just not a long enough pattern and without clarity on the weekly graph



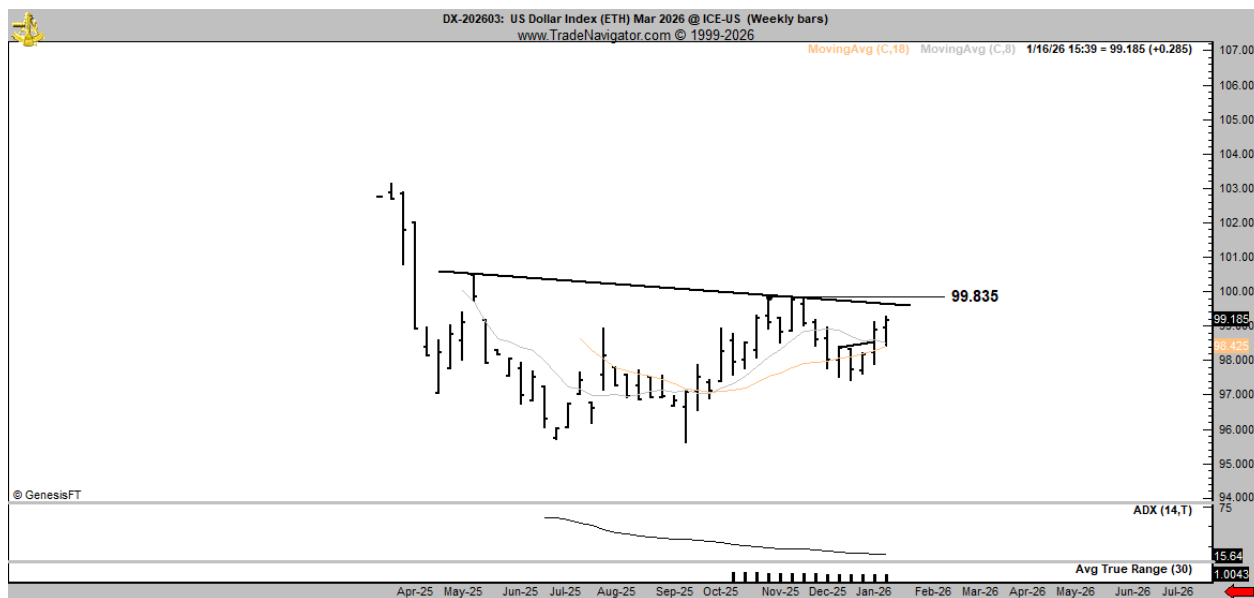
AUD/NZD spot or futures

- I have been looking at this chart develop for years
- Massive rectangle
- There was a breakout in December
- I will buy a small position next week, risking to the 1.1405 pivot (which means below the pivot always)
- This is basically risking to the Last Month Rule
- I would just hate to see a pattern like this work without trying it
- The last time the monthly ADX turned up from a low level was during the decline in 2013, not that ADX is ever magic



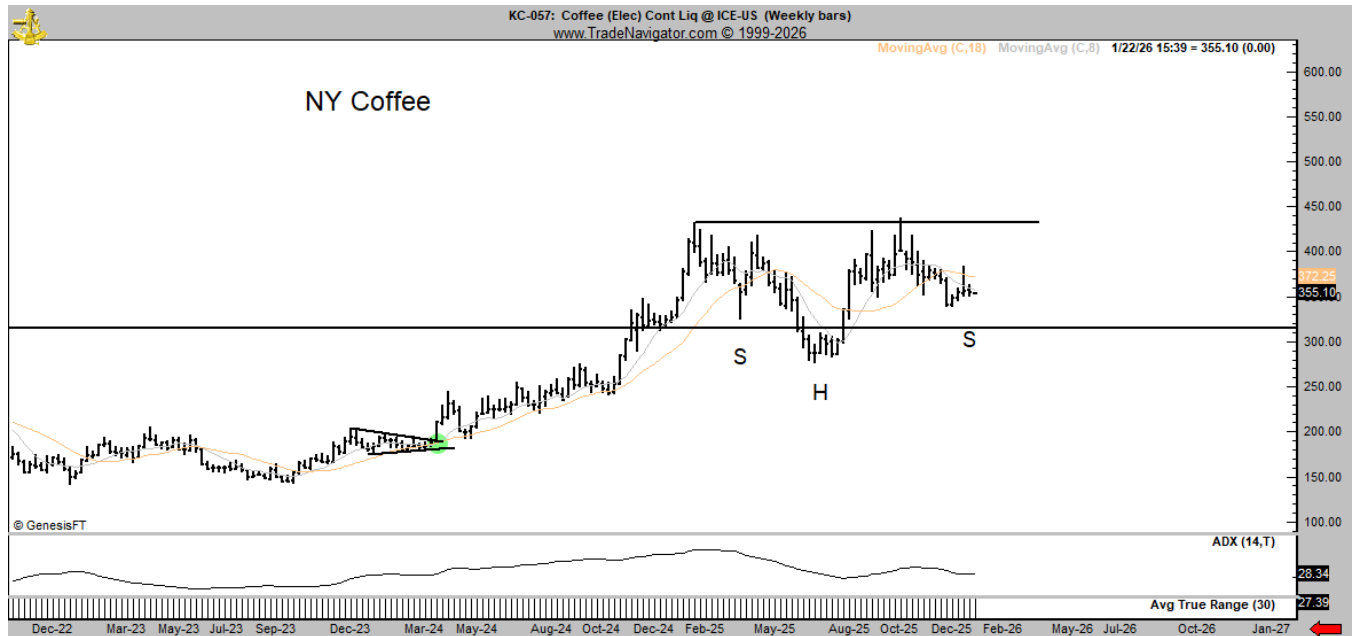
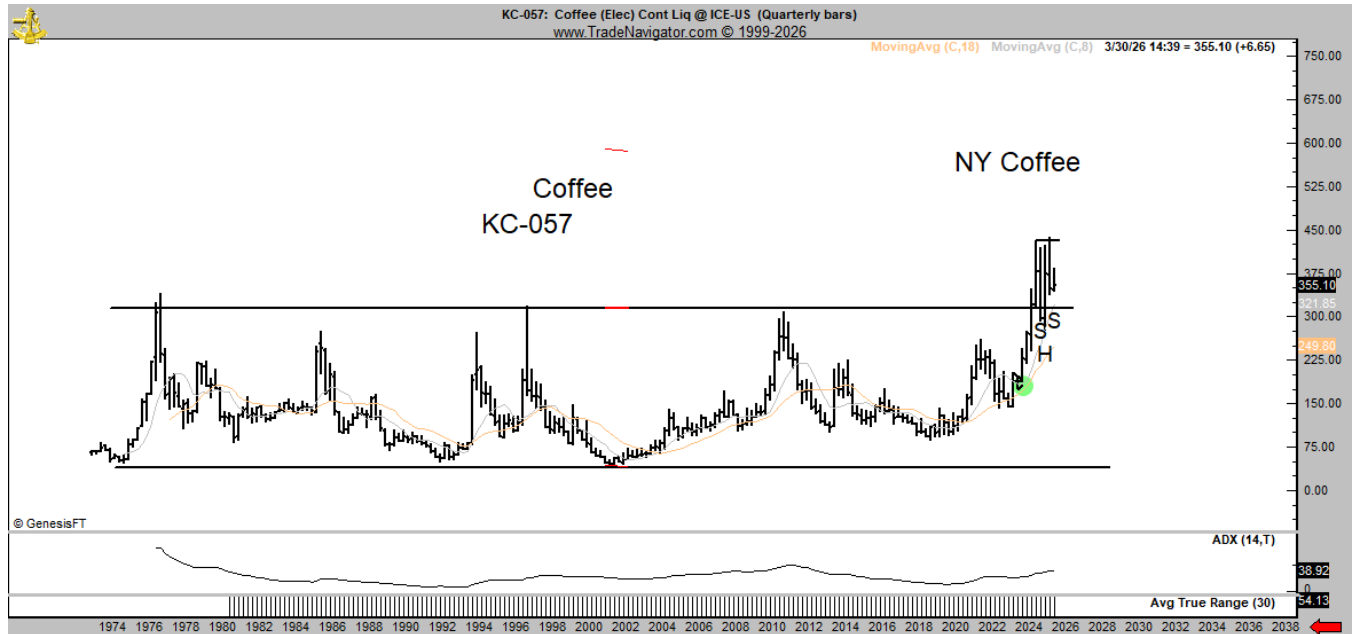
USDx futures

- I am open to the idea of a H&S bottom in the USD, a trade that runs counter to conventional opinion
- Because there is so much overhead resistance on the long-term chart (not shown) I am only game for one unit



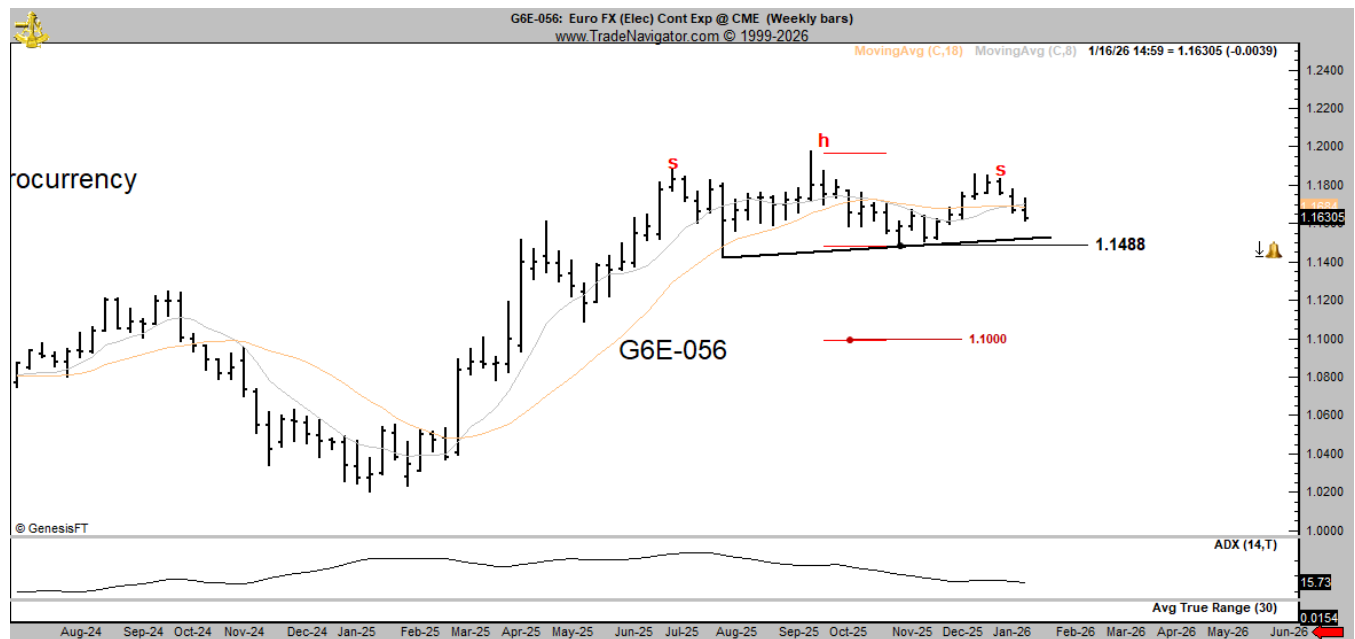
New York Coffee futures

- A magnificent long-term set up could be developing – or maybe not
- The long-term chart displays a multi-decade rectangle
- This rectangle was resolved to the upside and a retest is occurring
- The retest on the weekly chart displays a possible continuation inverted H&S
- This is an exciting possibility but will be difficult to execute for many traders
- Maybe the daily chart will give us a measured risk opportunity



EuroFX futures

- Ditto USDX



Silver

- Candidly, while a huge correction could occur, I just do not see any weakness in this market – YET
- I tried the long side this past week. I should have given my trade back to break even. Oh well!

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Silver / U.S. Dollar - 1D - OANDA O92.7188 H92.7752 L86.8586 C90.1200 -2.2729 (-2.46%) Vol476.35K
SMA



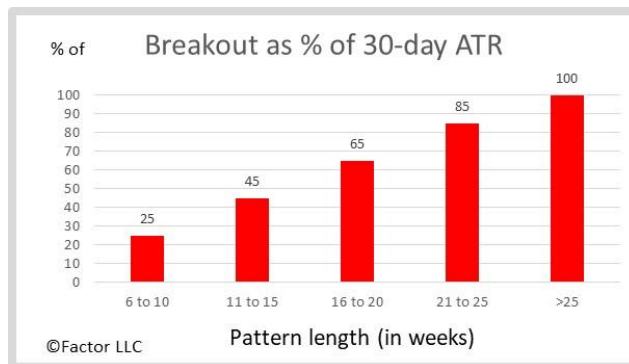
TradingView

For the video version of this Factor Update Video click here: I will try to do one and if I get to it I will email out the link. I might wait until Monday.

Just a reminder about ATR breakout levels.

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-**day** ATR of the latest day within the pattern
4. Multiply the 30-**day** ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-**week** H&S bottom would be 45% of the 30-**day** ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-**day** ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

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